Banking Awareness

BankPrep AI | Banking Exam Preparation Study Material
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1. What Is a Bank?

A bank accepts deposits, facilitates payments and provides eligible customers with loans and other financial services.

A savings account is commonly used to save money and make routine transactions.

2. Reserve Bank of India

The Reserve Bank of India (RBI) is India's central bank.

Its responsibilities include monetary policy, currency management and regulation or supervision of relevant financial institutions under applicable laws.

The current RBI Governor is Sanjay Malhotra (as of 9 October 2026). The Governor chairs the Monetary Policy Committee.

3. Monetary Policy Committee (MPC)

The Monetary Policy Committee (MPC) is a six-member committee, chaired by the RBI Governor, that decides the policy repo rate. The MPC meets at least four times a year; in practice it meets about every two months (bi-monthly).

RBI works to a CPI inflation target of 4 per cent with a tolerance band of plus or minus 2 per cent (2 to 6 per cent).

4. Repo Rate

The repo rate is the policy rate at which the RBI provides short-term funds to banks against eligible government securities under the Liquidity Adjustment Facility (LAF). A higher repo rate makes borrowing costlier for banks; a lower repo rate makes it cheaper.

Current value (as of 9 October 2026): the policy repo rate is 5.50 per cent. On 7 October 2026, the MPC (63rd meeting, held 5 to 7 October 2026) raised the repo rate by 25 basis points from 5.25 per cent to 5.50 per cent. The decision was unanimous.

This was the first repo rate increase since February 2023, when the rate went to 6.50 per cent. The rate was then cut four times in 2025 (reaching 5.25 per cent in December 2025) and held at 5.25 per cent through the 2026 reviews until October 2026.

The rate can change at any MPC meeting. The next MPC meeting is scheduled for 2 to 4 December 2026, and the minutes of the October meeting are due on 21 October 2026. Always verify the latest value on the RBI website (rbi.org.in).

5. Policy Rate Corridor After the 7 October 2026 Decision

Policy repo rate: 5.50 per cent.

Standing Deposit Facility (SDF) rate: 5.25 per cent. This is the floor of the corridor, 25 basis points below the repo rate. Banks can park surplus funds with the RBI at this rate.

Marginal Standing Facility (MSF) rate: 5.75 per cent. This is the ceiling of the corridor, 25 basis points above the repo rate. Banks can borrow overnight at this rate in emergencies.

Bank Rate: 5.75 per cent. It is aligned with the MSF rate.

Fixed reverse repo rate: 3.35 per cent, as shown on the RBI website in September 2026. Check the RBI website for any change to this rate.

6. Monetary Policy Stance

The monetary policy stance describes the direction in which the RBI is inclined to move policy. On 7 October 2026, the MPC changed its stance from 'neutral' to 'calibrated tightening'. The stance change was approved by a 4 to 2 majority.

Calibrated tightening signals that rate cuts are unlikely in the near term and that further rate increases are possible if inflation requires. The previous stance, 'neutral', was in place at the August 2026 review.

RBI projections announced on 7 October 2026: CPI inflation for 2026-27 at 5.2 per cent and real GDP growth for 2026-27 at 7.1 per cent.

7. CRR and SLR

CRR means Cash Reserve Ratio. It is the prescribed portion of a bank's Net Demand and Time Liabilities (NDTL) maintained as cash balance with the RBI. It earns no interest.

SLR means Statutory Liquidity Ratio. It is the prescribed portion of NDTL that banks maintain in specified liquid assets (such as cash, gold and approved government securities) on their own books.

Current values (as of 9 October 2026): CRR is 3.00 per cent and SLR is 18.00 per cent. The RBI made no change to CRR in the 7 October 2026 policy. CRR was reduced from 4 per cent to 3 per cent in stages during 2025.

CRR and SLR requirements can change; check current RBI rules.

8. Common Banking Terms

NEFT: National Electronic Funds Transfer.

RTGS: Real Time Gross Settlement, used for large-value transfers.

IMPS: Immediate Payment Service.

KYC: Know Your Customer.

UPI: Unified Payments Interface, operated by the National Payments Corporation of India (NPCI).

NDTL: Net Demand and Time Liabilities.

LAF: Liquidity Adjustment Facility.

SDF: Standing Deposit Facility.

MSF: Marginal Standing Facility.

9. Revision Questions

Q1. What is India's central bank? Answer: Reserve Bank of India.

Q2. What does KYC stand for? Answer: Know Your Customer.

Q3. What does NEFT stand for? Answer: National Electronic Funds Transfer.

Q4. Which institution announces India's monetary policy? Answer: The RBI, through its Monetary Policy Committee process.

Q5. What is the repo rate as of 9 October 2026? Answer: 5.50 per cent.

Q6. What are the SDF rate and the MSF rate after the 7 October 2026 decision? Answer: SDF 5.25 per cent; MSF 5.75 per cent.

Q7. What is the Bank Rate as of 9 October 2026? Answer: 5.75 per cent.

Q8. What stance did the MPC adopt on 7 October 2026? Answer: Calibrated tightening (changed from neutral).

Q9. What are the CRR and SLR as of 9 October 2026? Answer: CRR 3.00 per cent; SLR 18.00 per cent.

Q10. Who chairs the Monetary Policy Committee? Answer: The RBI Governor (Sanjay Malhotra as of October 2026).

10. Sources and Update Notice

Rates and policy details in this document were verified on 9 October 2026 against the RBI Monetary Policy Statement of 7 October 2026 and the RBI website current-rates panel. Values after that date may differ. For exams, always confirm the latest repo rate, CRR, SLR and other figures on rbi.org.in.